

In the End

You must understand that Manpower Budget and “Cost to Company” are not the same. The Manpower Budget takes into account all the costs of human resources in the organization. “Cost to Company” is a marketing tool. It is used to ensure that your compensation appears as attractive as that of your competitors. Some organizations even include one-time bonuses and payments in the “CTC statement” without adding them to the CTC. You may develop your strategy based on industry practices or by benchmarking the compensation of the organizations from which you are hiring.

We will discuss compensation benchmarking in the next chapter. Apart from that we will also discuss methods for achieving pay parity and conducting salary revisions.

Creative Compensation structure has immense power to retain and motivate.

Hands-on HR

Here are some hands-on questions for you to apply what you learnt in this chapter.

1. Prepare an Incentive Plan

Prepare an Incentive plan for your recruiters to increase productivity (Purpose). Ensure following components.

- The period of the incentive plan.
- Who is eligible to participate in the plan?
- Threshold above which incentive will be given.
- Incentive Amount
- Payment conditions

2. Receive Agreement

Review sample agreement for granting Restricted Stock Units (RSUs). You may use this link for sample agreement (<https://contracts.justia.com/companies/insight-enterprises-inc-687/contract/223016/>). It must have:

- Employee Name and ID
- Grant Date and number
- RSUs awarded
- Vesting Schedule and terms
- Other Terms (Taxation, Voting Rights, Consent for transfer of Data, Restrictions, Securities Law compliance and Arbitration)
- Acknowledgement and Acceptance of terms